



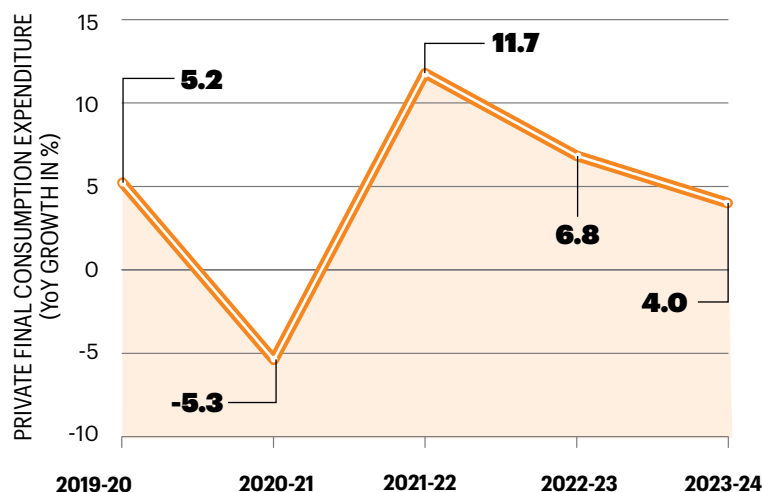
“WATCH OUT FOR THE UPCOMING UNION BUDGET... OUR BASE CASE IS FOR THE GOVERNMENT TO STICK TO A MEDIUM-TERM FISCAL CONSOLIDATION ROAD MAP BUT WITH A POPULIST BIAS”

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CONSUMPTION BOOST LIKELY

● RBI dividend gives fiscal space for additional spending

● Increased allocations for schemes like PM-Kisan; housing and sops for women likely



SOURCE MoSPI

in corporate taxes have brought in mixed results and much more needs to be done, say experts. They add that the services sector alone is not sufficient to generate jobs for India's workforce that sees 4 million entrants every year.

Boosting private investment after the pandemic has been a challenge, though some data has pointed to a nascent revival in recent months. It is yet to be seen to what extent companies will turn cautious after the poll verdict, but the hope is that the continued political stability would give them some comfort.

The lack of jobs seems to have been a burning issue among voters, and some reports have highlighted that the spectre of jobless growth continues to haunt the economy. Official unemployment data from the Periodic Labour Force Survey reveals that the unemployment rate for persons aged 15 years or above had declined to 3.1% in 2023, from 3.6% in 2022 and 4.2% in 2021. But, a closer reading

of the numbers indicates that unemployment continues to be a problem, especially for graduates.

The India Employment Report 2024 prepared by the Institute for Human Development and the International Labour Organization had highlighted that in 2022, the share of unemployed youth in the total unemployed population was 82.9%. “Unemployment cannot go away at one go and will take time. A lot needs to be done, including labour reforms,” says NIPFP's Rao, noting that 75% of workers are employed in units with less than 20 workers. “We need to move into medium- and large-sized industries. Skilling and education also have to be improved,” he adds.

Rising prices—with retail inflation remaining close to 5% while inflation in food items (including vegetables and cereals) is even higher at 7%—have also pinched household budgets; this has also muted their discretionary spends to an extent. Private consumption demand, too, has been muted and the Budget is expected to have at least some sops to lift household spends.

In fact, expectations are that RBI's ₹2.11 lakh crore bumper dividend to the government could be used for some populist schemes to put more money in the hands of the people. While the middle class is hoping for some tax cuts to help them offset the impact of higher inflation, schemes such as the Pradhan Mantri Kisan Samman Nidhi could also see an increase in the annual disbursement from the current ₹6,000 per year. Sops for women